PENNSYLVANIA MEDICAL BILL DEFENSE TOOLKIT & LEGAL REFERENCE

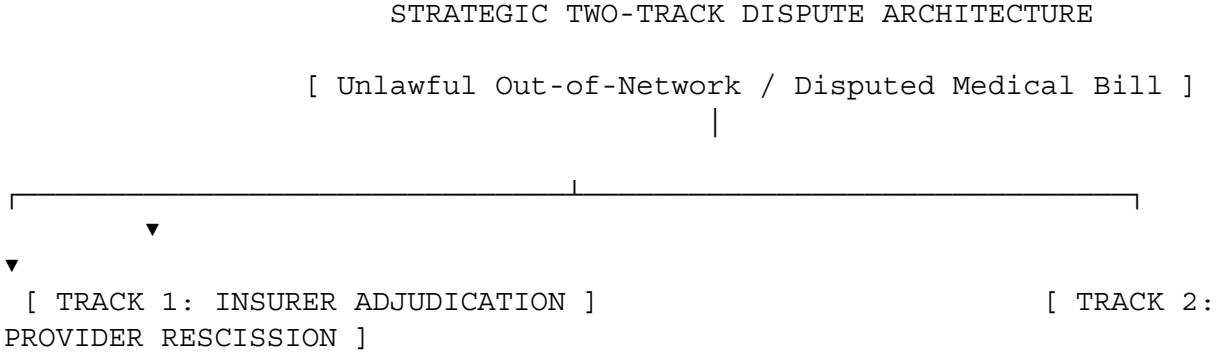
Action Guide and Statutory Framework for Pennsylvania Consumer Advocacy

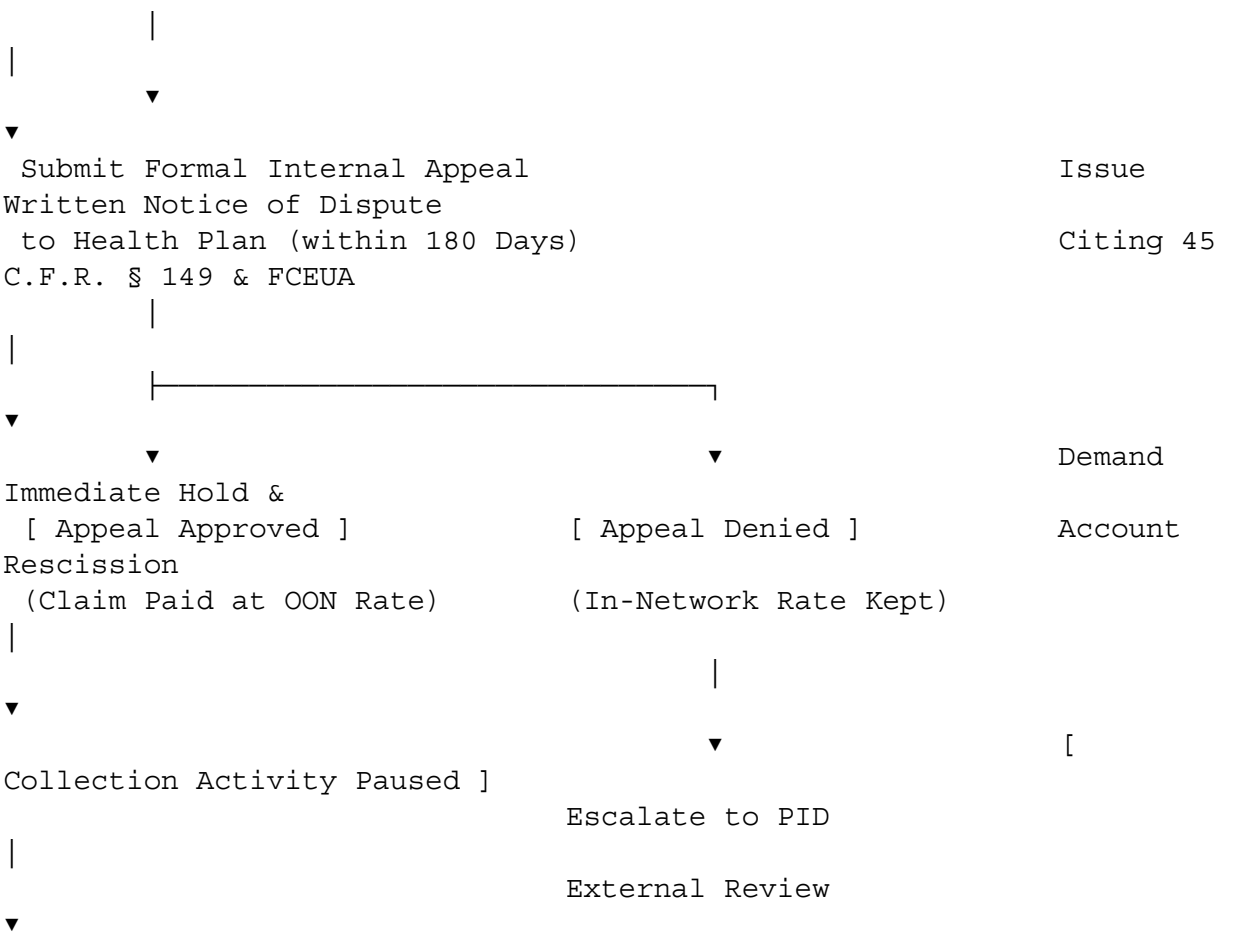
⚠️ CRITICAL WARNINGS & PROCEDURAL SAFEGUARDS

- **NEVER IGNORE COURT SUMMONS OR COMPLAINTS:** Expiration of Pennsylvania's 4-year statute of limitations (\text{42 Pa.C.S. § 5525(a)}) does **not** automatically dismiss a lawsuit. Under **Pa.R.C.P. 1030**, the statute of limitations is an **Affirmative Defense** that must be explicitly raised under "New Matter" in a formal Answer. Failure to plead it constitutes a permanent waiver of the defense.
- **DO NOT MAKE PARTIAL PAYMENTS ON TIME-BARRED DEBTS:** Under Pennsylvania common law (the **Acknowledgment Doctrine**), voluntary partial payments act as constructive acknowledgment of a debt, inferring a promise to pay the balance and resetting the 4-year limitation clock to day zero (*Huntingdon Fin. Corp. v. Int'l Packaging Corp.*, 659 A.2d 1054 (Pa. Super. 1995); *Cole v. Lawrence*, 701 A.2d 987 (Pa. Super. 1997)). Maintain complete payment stoppage (\$0.00) during active disputes.
- **DISTINGUISH LIVE DEBTS FROM TIME-BARRED DEBTS:** Blanket non-payment on live, enforceable contracts within the 4-year window invites default litigation and credit damage. Strategic non-payment applies specifically to disputed, non-compliant, or time-barred claims.
- **PRESERVE INSURANCE APPEAL TIMELINES:** Statutory external reviews must be requested following internal plan exhaustion. Internal ERISA/ACA appeals must be filed within 180 days of an adverse benefit determination (EOB).

PART 1: THE TWO-TRACK DISPUTE ARCHITECTURE

When contesting unlawful medical debt or out-of-network balance bills, consumers must execute a dual-track strategy to separate coverage adjudication from collection enforcement:





1. **Track 1: Insurer Coverage Adjudication**
    - Targets the health plan's claim calculation and cost-sharing determination.
    - If a commercial health plan miscalculates cost-sharing or denies No Surprises Act protections, submit an internal appeal. If denied, escalate to the Pennsylvania Insurance Department (PID) Independent External Review program under \text{40 P.S. § 2164.2}.
2. **Track 2: Provider & Collection Rescission**
    - Targets the billing department, hospital, or third-party debt collector.
    - Issues a formal Notice of Statutory Dispute invoking the No Surprises Act (\text{45 C.F.R. Part 149}), IRS Section 501(\text{r}) regulations (\text{Treas. Reg. § 1.501(r)-6}), the PA Fair Credit Extension Uniformity Act (\text{73 P.S. § 2270.4}), and PA contract limitations (\text{42 Pa.C.S. § 5525(a)}) to freeze collection activity and force balance adjustment.

PART 2: CONSUMER ACTION CHECKLIST

Step 1: Triage Your Bill (5 Minutes)

- **Emergency or Out-of-Network Ancillary Care?** (Anesthesia, radiology, pathology at an in-network facility) \rightarrow Protected under the No Surprises Act (\text{45 C.F.R. §

149.110} / § 149.120). Capped at in-network Qualifying Payment Amount (QPA) cost-sharing.
- **Non-Profit Tax-Exempt Hospital?** \rightarrow Protected under Treasury Regulation \text{§ 1.501(r)-6} (120-day ECA prohibition window; 240-day FAP application window).
- **Debt Age > 4 Years from Default?** \rightarrow Time-barred under \text{42 Pa.C.S. § 5525(a)}.

Step 2: Assemble Evidence (Day 1)

- [ ] Itemized billing statement from provider
- [ ] Explanation of Benefits (EOB) from insurer
- [ ] Copies of insurance cards (front and back)
- [ ] Intake documents and notice/consent waivers (if any)
- [ ] Audit log documenting initial statement date and default date (accrual_date)

Step 3: Serve Written Statutory Dispute (Days 1 \text{--} 7)

- Send via **USPS Certified Mail with Return Receipt Requested**.
- Include explicit non-acknowledgment phrasing to prevent resetting limitation clocks under the Acknowledgment Doctrine.

Step 4: Administrative Regulatory Escalation (Days 30 \text{--} 60)

If collectors fail to verify or continue collection during an active dispute, file concurrent complaints with:

- **PA Insurance Department (PID):** 1\text{-}877\text{-}881\text{-}6388 (\text{insurance.pa.gov}) for state-regulated plans.
- **CMS No Surprises Help Desk:** 1\text{-}800\text{-}985\text{-}3059 (\text{cms.gov/nosurprises}) for self-funded ERISA or federal issues.
- **PA Attorney General (Bureau of Consumer Protection):** 1\text{-}800\text{-}441\text{-}2555 (\text{attorneygeneral.gov}) for FCEUA / UTPCPL debt collection violations.

PART 3: DISPUTE LETTER TEMPLATES

Template A: Notice of Statutory Dispute & Balance Billing Invalidation

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[Your Full Name]
[Street Address]
[City, PA ZIP]
[Phone] | [Email]

[Date]

VIA CERTIFIED MAIL, RETURN RECEIPT REQUESTED
Tracking #: [Number]
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[Provider / Hospital Billing Department / Collection Agency Name]
[Street Address]
[City, State ZIP]

Re: Formal Notice of Statutory Dispute & Demand for Verification / Rescission
Account / Reference #: [Account Number]
Date(s) of Service: [Dates]
Disputed Balance: $[Amount]

Dear Billing Manager / Collections Supervisor:

I am writing to formally dispute the balance referenced above. Please treat this communication as a formal written dispute and demand for verification.

1. Federal No Surprises Act Protections (45 C.F.R. Part 149)
The services rendered on [Date] constituted [emergency services / out-of-network ancillary services (anesthesiology, radiology, pathology, assistant surgery) performed at an in-network facility]. Under 45 C.F.R. § 149.110 and § 149.120, out-of-network providers are prohibited from balance billing patients beyond established in-network cost-sharing based on the Qualifying Payment Amount (QPA). No valid, timely notice-and-consent waiver complying with 45 C.F.R. § 149.420 was executed. Pursuant to 45 C.F.R. § 149.510, reimbursement disputes must be resolved directly between your entity and my health plan via Federal Independent Dispute Resolution (IDR).

2. Pennsylvania Fair Credit Extension Uniformity Act (73 P.S. § 2270.4)
Pursuant to 73 P.S. § 2270.4, attempting to collect amounts that are not legally owed or pursuing collection activity while an account is formally disputed constitutes an unfair debt collection practice. Under 73 P.S. § 2270.5(a), any violation of the FCEUA constitutes a per se violation of the Pennsylvania Unfair Trade Practices and Consumer Protection Law (UTPCPL), 73 P.S. § 201-1 et seq., exposing non-compliant entities to private statutory remedies, treble damages, and attorney's fees.

3. Explicit Non-Acknowledgment & Preservation of Rights
Nothing in this written dispute shall be construed as an admission of liability, an acknowledgment of the debt, or an unconditional promise to pay. Notice is hereby given that I refuse to make any partial payment or token disbursement while this account is in dispute. Under Pennsylvania common law (the Acknowledgment Doctrine), voluntary payments reset limitation periods; no such action will be taken.

4. Demand for Remedial Action

Please take the following actions within thirty (30) days:
a. Freeze all active collection efforts, telephonic demands, and credit bureau reporting.
b. Rescind the out-of-network balance charge, adjusting patient responsibility to $0.00 (or the verified in-network cost-sharing level).
c. Provide written confirmation that this account has been adjusted or returned to the primary creditor.

Sincerely,

[Signature]
[Printed Name]

Template B: Regulatory Complaint Narrative (PA Insurance Department & IRS)

REGULATORY COMPLAINT NARRATIVE
For submission to: PA Insurance Department Consumer Services Bureau / IRS Form 13909 Attachment

1. PARTIES & ACCOUNT IDENTIFICATION
- Complainant: [Your Full Name]
- Healthcare Facility / Provider: [Provider Name] (EIN: [Facility EIN, if applicable])
- Health Plan / Insurer: [Insurance Carrier Name]
- Account Reference #: [Account Number]
- Date(s) of Service: [Date]
- Disputed Balance: $[Amount]

2. STATEMENT OF STATUTORY VIOLATIONS
A. No Surprises Act Violation (45 C.F.R. Part 149): Complainant received out-of-network ancillary/emergency services at an in-network facility. The provider issued a direct balance bill exceeding in-network cost-sharing limits without obtaining a valid notice-and-consent waiver under 45 C.F.R. § 149.420.

B. IRS Section 501(r) Non-Compliance (Treas. Reg. § 1.501(r)-6): The target facility is organized under IRC § 501(c)(3). The facility initiated Extraordinary Collection Actions (ECAs) / collection transfers prior to completing reasonable efforts to determine Financial Assistance Policy (FAP) eligibility within the mandatory notification windows established by Treas. Reg. § 1.501(r)-6.

C. PA FCEUA & Consumer Protection Exposure (73 P.S. § 2270.4 / 73 P.S. § 201-1): Continued collection demands during an active statutory

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dispute constitute deceptive practices under the Fair Credit Extension
Uniformity Act, triggering per se UTPCPL liability.

3. REQUESTED ADMINISTRATIVE RELIEF
1. Direct the provider/facility to cease all collection enforcement
and recall the account from third-party agencies.
2. Compel reprocessing of the claim at in-network cost-sharing levels
based on the QPA.
3. Initiate an administrative audit regarding 501(r) ECA compliance
and FCEUA debt collection practices.
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PART 4: STATUTORY REFERENCE & CASE LAW MATRIX

Authority / Citation	Legal Scope & Rule	Consumer Defense & Litigation Impact
No Surprises Act (\text{45 C.F.R. Part 149})	Caps patient liability for emergency & ancillary care at in-network QPA rates.	Removes patient from payer-provider payment disputes; mandates Federal IDR.
Treas. Reg. § 1.501(r)-6 (\text{26 U.S.C. § 501(r)})	Mandates 120-day ECA prohibition & 240-day FAP application processing windows.	Bars non-profit hospitals from suing, garnishing, or reporting to credit bureaus prematurely.
PA Contract Limitations (\text{42 Pa.C.S. § 5525(a)})	4-year statute of limitations on written/unwritten contracts running from default.	Absolute defense against untimely suits; **must be pleaded under Pa.R.C.P. 1030 (New Matter)**.
PA Acknowledgment Doctrine (*Huntingdon*, 659 A.2d 1054)	Common-law rule governing limitation clock restarts via payment or writing.	**Partial payment restarts 4-year clock.** Written promise restarts clock *only* if clear, unequivocal, and unconditional.
PA FCEUA (\text{73 P.S. § 2270.4})	Regulates first-party creditors (hospitals) and third-party collectors.	Prohibits deceptive debt collection; violations trigger *per se* UTPCPL remedies under \text{73 P.S. § 2270.5(a)}.
PA Wage Exemption (\text{42 Pa.C.S. § 8127})	Exempts personal wages in employer hands from ordinary debt garnishment.	Protects employee earnings from direct wage attachment in PA state courts.
Tenancy by the Entireties	Shields joint spousal real estate/property from single-spouse debts.	Protects marital homes against judgments incurred individually by one spouse.